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Period: 17 August 2026 to 06 October 2026
Harlow & Finch Ltd

VAT Return Summary

For the period 17 August 2026 to 06 October 2026

AI-Assisted Draft: This is an estimated VAT summary based on Xero data. It does not replace a formal VAT return. All figures must be verified before MTD submission.

£2,835.33

Net VAT: reclaimable from HMRC

VAT Summary

Item	Amount
Output VAT (on sales)	£2,083.33
Input VAT (on purchases)	£4,918.66
Net VAT	**£2,835.33**

Breakdown by VAT Rate

Rate	Net Sales	Output VAT	Net Purchases	Input VAT
20%	£10,416.67	£2,083.33	£24,593.42	£4,918.66
0%	£4,200.00	£0.00	£33,413.00	£0.00

Overview

Input VAT on purchases exceeds output VAT on sales for the period, so the return would show an amount reclaimable from HMRC. The figures are derived from bank movements with the VAT fraction applied to standard-rated lines, not from VAT invoices.

Output VAT Commentary

Output VAT arises from a single client settlement. If that invoice was raised in the previous period the tax point may already have been accounted for, which the reviewer should confirm against the sales

ledger before filing.

Input VAT Commentary

Input VAT is spread across software, professional fees, courier, cleaning and premises costs. Insurance, business rates, wages, professional subscriptions and the HMRC payments carry no VAT and are shown at the zero line; loan movements sit outside the return. Entertainment and hospitality lines are included in the estimate but input VAT on client entertaining is not recoverable and should be removed.

Recommendations

Reconcile the estimate to VAT invoices before submitting through Making Tax Digital.

Remove any input VAT on client entertaining and check the tax point of the client settlement.

Keep the digital links from the bank feed to the return intact so the figures can be evidenced if HMRC asks.